

Policy Memo to the Government of India's Ministry of Labour & Employment
and State Labour Departments

Workers Protections for Home-Based Textile/Garment Workers in India
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Introduction

Home-based workers (HBWs) play an important role in global supply chains of textiles and the fashion industry, but are often invisible and thus are more vulnerable to poor working conditions and wage theft. However, with so little transparency in the supply chain, homeworkers, who are mostly women, are left exposed to human rights abuses. This policy memo outlines the challenges that HBWs in the garment industry in India face, while looking at efforts for recognizing HBWs as workers/employers in the Philippines and Pakistan. Given how big India is, legislation for HBWs to be recognized under the Labour Code at a national level might be unachievable. The current mobilization should start at a state level, where groups can organize with greater ease, and resources for enforcement can be allocated at the local level.

Key Challenges of Rights for Home-Based Workers in India

Background

The garment, textile, and footwear (GTF) production sector in India provides direct employment to over 45 million people, making it the second largest employment sector in the country (International Labour Organization, 2022). While the industry directly employs 12.9 million individuals in formal factory settings, it also provides indirect employment to millions more individuals in informal, home-based settings (Kara, 2019). The formal sector is characterized by manufacturing and production activities that take place within a factory or garment house, and workers have formal contracts with wage-based employment (Kara, 2019). The informal sector consists of HBWs who do not have formal agreements or written contracts, and are paid on a piece-rate basis (International Labour Organization, 2022; Kara, 2019).

As depicted in Figure 1, HBWs are hired through a series of contractors and subcontractors. The local subcontractor provides the work order details and raw materials to

the homeworkers, who are paid by the piece. The homeworkers are unaware of their primary employer or the retail company for whom they are making the product (HomeNet South Asia, 2020). This layered structure creates a fissured employment model and supply chain, which enables exploitative work conditions, poor remuneration, and the lack of formal systems for recourse (Weil, 2014).

Social Challenges

In the formal sector, women represent 39% of garment workers in India, but informal home-based garment workers are almost entirely composed of women and girls from minoritized ethnic and religious communities (Kara, 2019). A research study from UC Berkeley found that 99.3% of HBWs in rural or peri-urban areas are either Muslims or belong to a heavily oppressed community (Kara, 2019). The subordinated status of women in rural areas further exacerbates their lack of power and ability to bargain for higher rates.

Almost all home-workers (99.2%) receive between 50% and 90% less than the minimum wage (Kara, 2019). Additionally, most of the hand-intensive work (see Fig. 2) is subcontracted to home-workers so that factories are able to save on costs. Thus, the piece rates do not reflect the skill level and effort of the labour (HomeNet South Asia, 2020).

Garment factories do not disclose or track subcontracting to HBWs, which renders them invisible in the supply chain (HomeNet South Asia, 2020). This invisibility and informality also obscures their labour from the state, hence they are denied access to labour or legal protection as well as employment-based social welfare benefits. Additionally, they lack access to channels for recourse against exploitative working conditions (HomeNet South Asia, 2020). Since HBWs work in isolation, it is difficult for them to organise into unions and gain bargaining power.

The demand for labour of home-workers in the GTF industry is inconsistent and fluctuates depending on the demand for garments and textiles: the work is generally available for 6 to 8 months in a year, leaving the home-workers with no income for the rest of the year

(HomeNet South Asia, 2020). During peak seasons, HBWs work for almost all 30 days of the month and are expected to work 10-14 hours a day (Bishnoi & Kapoor, 2020). Along with poor piece rates, no benefits, and a lack of guaranteed work, home-workers are forced to bear the cost of tools, supplies, electricity, as well as the transport costs of meeting with subcontractors (HomeNet South Asia, 2020).

Economic Challenges

In a global study, researchers found that sub-contracted HBWs are heavily affected by macroeconomic trends, such as fluctuations in product demand and prices (Roever, 2014). The rise of textile manufacturing industries in other Asian countries has strengthened the bargaining power of employers and weakened the bargaining power of employees or workers who can easily be substituted for each other across borders (Carr et al., 2000). 12/18/2025 6:16:00 AM . Big companies are able to replace suppliers if production/labour costs increase without having to give notice to factories. Given the fissured supply chains, they are also not liable to pay severance to the workers who are left unemployed (Carr et al., 2000). The high level of economic competition in the global market puts pressure on firms to cut total costs, which is managed by lowering labor costs.

Current Policy Landscape in India

The International Labour Organization (ILO)'s "Home Work Convention" (Convention 177) was adopted in 1996, however, it has yet to be ratified by India. The convention guarantees several rights and protections for homeworkers, including "protection against discrimination; protection of occupational safety and health; fair remuneration; social security protection" (International Labour Organization, 1996). India's current labour codes only guarantee rights and protections for those in the formal employment sector (Goswami, 2025).

HBWs are placed in the category of unorganised workers as per India's Unorganised Workers Social Security Act 2008. Subsequently, India's Code on Social Security (2020)

empowers, but does not mandate, the Central and State Governments to notify social security schemes for unorganized workers (The Code on Social Security, 2020). The e-Shram portal was launched in August 2021 as a national database of unorganized workers to facilitate the delivery of social security schemes and welfare benefits (Government of India, n.d.). However, the portal does not automatically grant benefits, it only determines eligibility for voluntary schemes (Tanushree & Mahendra Kumar Baishya, 2025).

Policy Analysis

Policy 1: Philippines' Labor Code

The Philippines has included homeworkers in its Labor Code since its inception in 1974. It was one of the first countries in Asia to recognize HBWs as employees under the law, entitling them to the same rights as other workers. In 1992, the Department of Labor and Employment (DOLE) enacted Department Order (DO) No. 05-92, which set out provisions for how the Labor Code applied to HBWs. This recognition gives them the right to organize and bargain collectively (Republic of Philippines Department of Labor and Employment, 1992). The law states that employers or indirect employers are responsible, along with contractors and subcontractors, for violations of the Labor Code's provisions. It also sets regulations around wages, working conditions, and social security for HBWs. Under DO No. 05-92, piece-rates are to be determined through time-and-motion studies, individual/collective agreements between employers and workers, or consultation between representatives of employers and worker organizations (Republic of Philippines Department of Labor and Employment, 1992). However, the research conducted by WIEGO found that even though labour officers have inspection and enforcement power, they do not have enough resources to enforce the laws.

Although the Philippines' Labor Code is considered the most progressive for HBWs, the Women in Informal Employment: Globalizing and Organizing (WIEGO) coalition found that there is very little evidence showing how the law has been enforced in practice (Dinesh

& Parilla, 2025). Another study found that only 1% of the total workforce is unionized and only 1 of 10 union members has a formal bargaining agreement with their employers. The workers interviewed by WEIGO stated that the subcontractors negotiated the wages and rates on behalf of HBWs. WIEGO found that the piece rates for homeworkers fall even below the minimum wage (Dinesh & Parilla, 2025). Furthermore, a working paper published by the International Labour Organization (ILO) notes that the last time-and-motion study for HBWs was conducted in the 1990s, and thus, the rates have not been updated to match the value of the time and effort put into the production of pieces (King-Dejardin, 2021). Furthermore, the ILO study found that there are high costs associated with filing complaints to DOLE, which has discouraged workers from seeking recourse (King-Dejardin, 2021).

Policy 2: Pakistan's Sindh Home-Based Workers Act

In Pakistan, efforts to give HBWs the same rights as other workers at a national level was quelled in 2011 when the Ministry of Labour & Manpower and Ministry of Women Development were dissolved (WageIndicator Foundation, 2025). Since then, efforts for legislation for HBWs rights have been at the provincial level.

The most notable of provincial level laws is the Sindh Home Based Workers Act 2018, which was the first piece of legislation in South Asia solely for HBWs (Khan & Dinesh, 2022). This legislation is a result of over two decades of advocacy by the Home-Based Women Workers Federation (HBWWF). The HBWWF was founded to give visibility to HBWs after efforts from trade union leaders and activists were questioned by government leaders as to who they were advocating for. These activists established cooperatives for HBWs to discuss issues develop their skills and collectively advocate for their rights. This gave rise to HBWWF, a registered federation, which registered the United Home-Based Workers Union in 2016.

The Sindh Home-Based Workers Act, 2018 recognized HBWs as “employees” and entitles them to the same rights as other formal workers (The Sindh Home-Based Workers

Bill, 2018). It applied to all persons working from their home or nearby premises for any industry, establishment, or commercial establishment, directly or via contractors/subcontractors. This act entitles HBWs to social, medical and maternity benefits, compensations, including a wages not below the minimum set under the Sindh Minimum Wages Act, 2015. The Act mandates a creation of a fund with contributions from the employer at a prescribed rate for the welfare of homebased workers.

While the Act has been an advanced step, the enforcement of the laws have been slow, which progress further disrupted by the COVID-19 pandemic (Khan & Dinesh, 2022). The initial step of identifying and registering workers that enables access to social security was slow and impeded improvements for the workers' conditions. However, the collective efforts of the HBWWF have been crucial in advancing the legislation and processes, despite the slow progress.

Political Analysis

Stakeholder Mapping

Women HBWs are the primary stakeholders. They will have legal rights to minimum wages/piece rates, safe working conditions, and access to social security schemes through the Social Security Code and e-Shram. Even though they are individually weak, the HBWs legislation efforts demonstrates the power of collective action and organizing.

The Self-Employed Women's Association (SEWA) and HomeNet South Asia organize home-based workers, run embroidery/production centers, link them directly to ethical brands, and lead campaigns for the recognition of HBWs under the law. They have run home-based worker campaigns, national conventions, and public actions explicitly demanding recognition of home-based workers as workers, ratification of ILO Convention 177, and adoption of a National Policy for Home-Based Workers (Self Employed Women's Association, 2024). Because of their large presence across the country, they have the power and resources to organize more HBWs in the garment sector to spur collective action.

Local contractors, subcontractors, middlemen, and small workshop owners currently mediate most work and wages for HBWs, legal recognition as employees would expose them to minimum wage, social security and work-safety obligations, raising labour costs and increasing pressure to formalize employment relationships (Kara, 2019). While these middle men may not have power over the demand of items, they are the ones who are found to abuse the female HBWs and retaliate against HBWs who organize by not giving them orders (Kara, 2019). They do have enough power to allocate better piece-rates to HBWs but are not incentivized to do so in the current system.

Exporters, buying houses, and international brands sourcing from India's garment and textile clusters benefit from low-cost, flexible, outsourced homework; recognition could trigger obligations under supplier codes of conduct, human-rights due diligence, and brand-level accountability for wages and conditions in homework chains. Their purchasing practices (prices, lead times, order cancellations) cascade pressure down the supply chain and encourage informal subcontracting (Kara, 2019). These stakeholders have the most power in the value chain, however, due to the fissured supply chain, they have no visibility of who is producing their garments and how they are produced (Dinesh & Parilla, 2025; Kara, 2019). They have the power to apply pressure on their suppliers and subcontractors for greater transparency of the supply chain, and they can also decide to pay their contractors more and mandate a better wage paid to the workers. Even though they publicly support "decent work" and human rights due diligence, they are resistant or quiet about the full legal recognition of homeworkers as employees due to cost and liability implications (Business and Human Rights Centre, n.d.).

India's Ministry of Labour & Employment and other central ministries are key policymakers for recognition under the Labour Codes (Code on Wages, Social Security Code, Occupational Safety and Health Code) and for notifying schemes and rules that could explicitly include home-based workers as employees or at least as covered "workers." These

government institutions hold the most formal power over legal definitions, scheme design, national-level policy and enforcement of laws. Even though they have granted legibility for social security for “unorganized workers” they have not fully given “unorganized”/informal workers the same rights as other formal/contracted workers. This means keeps costs lower and makes it compelling for international companies to continue to source garments and textiles from India instead of shifting their supply chains to cheaper countries (Kara, 2019).

Overton Window Framework Analysis

Recognizing home-based garment and textile workers as “workers” and “employees” under India’s labour code currently sits at the edge of political acceptability: it is no longer unthinkable, but it is not yet a mainstream policy commitment. For HBWs, the “unthinkable” baseline has long been that they are invisible piece-rate helpers, outside labour law and social security, with brands and contractors denying their existence in supply chains. The new Code on Social Security formally recognizes HBWs in definitions as “unorganized workers” making recognition and social security for them an “acceptable” topic in government discourse. In 2022, National Commission for the Welfare of Home-Based Workers Act was introduced in Parliament, proposing a statutory Commission to recognize HBWs as workers, however it was not ratified (The National Commission for Welfare of Home-Based Workers Bill, 2022). This remains outside the window in practice, giving HBWs full employee status with enforceable minimum wages, and collective bargaining rights would impose costs and legal liability on contractors, exporters, and brands, which the private sector is pushing back on. However, organizations like SEWA, HomeNet South Asia, and WIEGO through their advocacy work are slowly advancing the idea of full workers’ rights for HBWs from “radical” to “sensible”.

Recommendation & Conclusion

India should adopt a state- and municipal-level legal framework that recognizes home-based garment and textile workers as workers under existing labour codes and sets

enforceable, sector-specific piece-rates. Drawing on Pakistan's provincial HBW laws, state governments should mandate time-and-motion studies to establish fair rates, require paid fatigue and rest breaks, and ensure additional compensation for tools, electricity and transport. Local inspectorates and HBW organizations would be responsible for monitoring compliance. Starting at subnational levels directly addresses the enforcement failures observed in the Philippines and India's own weak national implementation, making labour protections more realistic and enforceable.

Figures

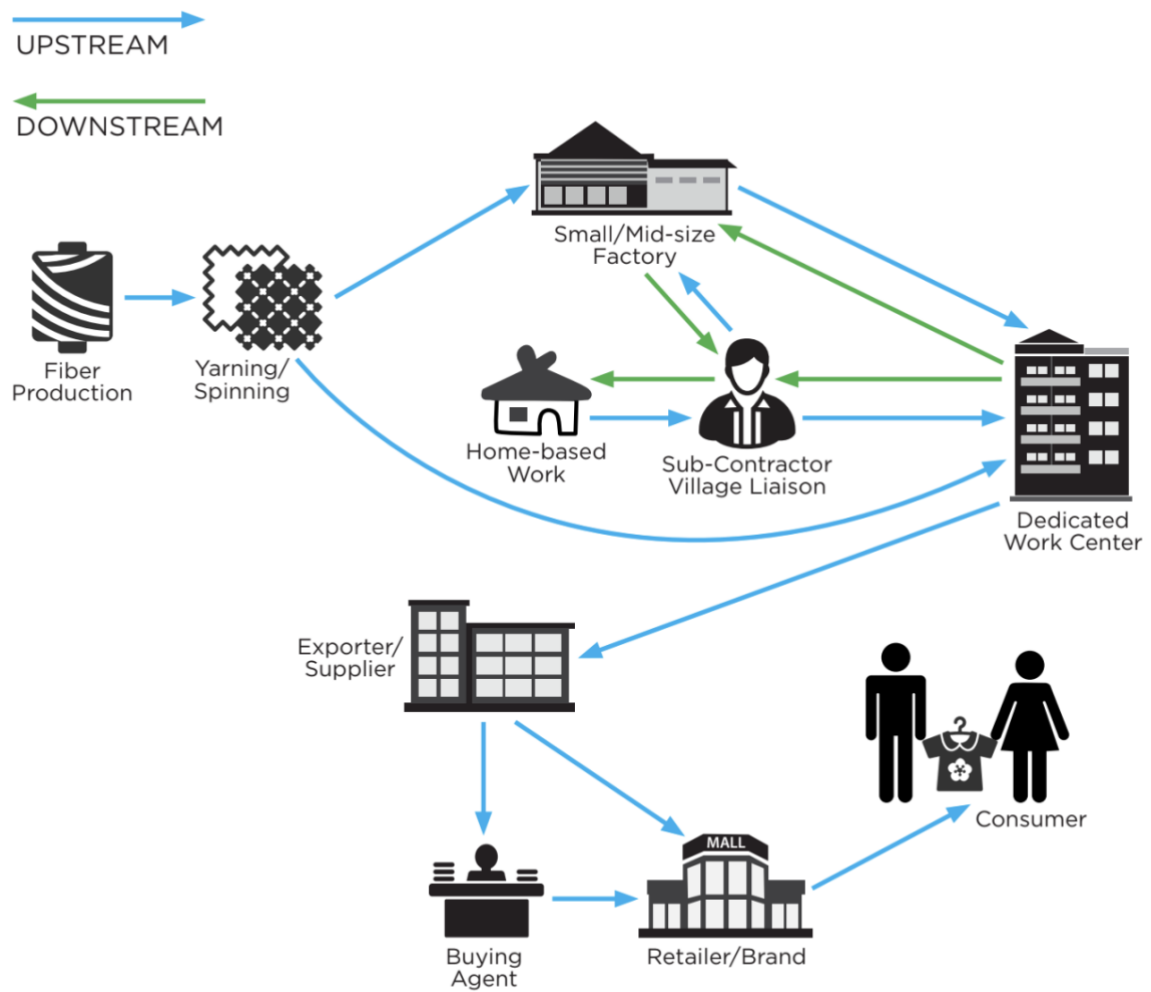


Figure 1: The supply chain for the garment sector in India (Kara, 2019)



Embellishment



Hand Embroidery



Knotting/Tasseling



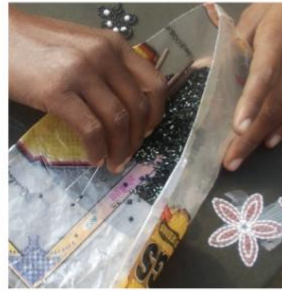
Lace Work



Sequin Work



Zari



Bead Work



Thread Work



Buttons



Fringing



Bead Linking



Crochet

Figure 2: Types of garment work typically performed by HBWs (Kara, 2019)

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